

Module 93.1: Ethics Application

SCHWESERNOTES - BOOK 4

LOS 93.a: Evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct.

LOS 93.b: Explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct.

Standard I: Professionalism

Standard I(A) Knowledge of the Law

Case 1:

A member reports to his supervisor that their firm is overcharging clients by seeking to recover the cost of expenses that are actually reimbursable. The actions taken only remedy the situation for some clients but not for others. The member must disassociate from the activity and not work with any clients who are still being overcharged.

Case 2:

A member violates the Standard by failing to investigate transactions in an account that appear to be at high risk of violating money-laundering laws (because it was a long-standing client who has relationships with board members).

Case 3:

A member violates the Standards (and the law) by forging customer signatures for expediency.

Standard I(B) Independence and Objectivity

Case 1:

A member violates the Standard by contributing to a politician's campaign, believing that it may lead to preferential treatment with regard to receiving management contracts for government pension fund money.

Standard I(C) Misrepresentation

Case 1:

A member violates the Standard by assuring a client that returns on a fund will outweigh the penalties incurred from shifting funds from an existing investment, essentially guaranteeing a specific rate of return on an investment that has no actual guarantee of returns.

Case 2:

A proposal to manage pension assets lists all personnel and their qualifications, but while the proposal is under consideration, one of the key personnel leaves the firm. The member is required to inform the potential client of this personnel change (misrepresentation by omission).

Case 3:

A member who is the CEO of an electric car company posts on social media that private financing has been secured to take the company private at \$420 per share when that is untrue and the member admits the price "was a joke." This is clearly a violation of the Standard regarding misrepresentation.

Standard I(D) Misconduct

Case 1:

A member is arrested for minor criminal offenses that are part of civil disobedience related to protesting and expressing her personal beliefs. This is not necessarily a violation of the Standard regarding misconduct, which states in

part that members are prohibited from "engaging in any professional conduct involving dishonesty, fraud, or deceit" or committing an act that "reflects adversely on their professional reputation, integrity, or competence."

Case 2:

A member violates the Standard by using his firm's error-correction policy to effectively give his own money to a client account in order to make his management of the account look better.

Standard I(E) Competence

Case 1:

A member violates the Standard by accepting a new role that includes supervisory responsibility but not taking steps to gain competence as a supervisor.

Standard II: Integrity of Capital Markets

Standard II(A) Material Nonpublic Information

Case 1:

A member violates the Standard by using material nonpublic information he acquired by overhearing a friend's phone conversation and inferring that a takeover offer for a specific company was imminent.

Case 2:

A member violates the Standard by sharing information with clients about a regulator's positive response to trials of a company's new drug that he learned of during a meeting of analysts with company management. The information is considered nonpublic because sharing it with a specific group of analysts was "selective sharing" of the information and cannot be considered public disclosure.

Standard II(B) Market Manipulation

Case 1:

A member violates the Standard by fraudulently including the names of people who do not actually own shares to meet the minimum required number of shareholders for a firm to be listed on an exchange, misleading market participants about the potential liquidity of the shares.

Standard III: Duties to Clients

Standard III(A) Loyalty, Prudence, and Care

Case 1:

A member violates the Standard by putting a policy into an investment firm's client agreements that indicates that their representatives are excused in some cases from acting in a client's best interest or failing to adequately investigate suitability of recommendations to clients, and that clients' rights to make claims for violating securities laws are restricted. Members and candidates cannot "opt out" of the Standards.

Case 2:

A member executes trades for a client who self-directs their own account and has received the firm's policies regarding margin requirements. In this case, the member's requirements to act in the client's best interests are limited, compared with a relationship in which the member is providing investment advice. There is no intent to limit the member's responsibilities to act in good faith and not misrepresent the services to be provided according to firm policies. The terms regarding the firm's actions in the event of a margin shortfall are open to negotiation at the inception of the relationship.

Case 3:

A member allocates expenses to a client that arise from actions designed to reduce total expenses (staying over a weekend to reduce transportation costs but increasing lodging costs). This is not a violation, but charging a client for expenses that benefit other clients or that are for personal activities of the member is.

Standard III(B) Fair Dealing

Case 1:

A member treats clients fairly by simultaneously sending emails regarding a change in investment recommendation. Providing individual clients with updates or clarifications regarding the change in recommendation is not a violation. Further, the member's firm offers some clients, for an additional fee, weekly updates about securities that may indicate a change in recommendation may be forthcoming. This is not a violation as long as clients are all informed about the availability of the weekly updates for a fee and as long as no change in recommendation is included in a weekly update that would disadvantage clients who do not subscribe to the additional service.

Standard III(C) Suitability

Case 1:

A member violates the Standard by recommending investments that carry more risk than is suitable for some clients, even though there are tax advantages to the recommended portfolios.

Case 2:

A member violates the Standard by making a client-requested change to their portfolio without investigating the client circumstances adequately to determine whether the requested investment is suitable for the clients.

Standard III(D) Performance Presentation

Case 1:

A member violates the Standard by presenting performance data based on a composite of separately managed accounts the firm managed before creating the fund that is being reported, giving the impression that the fund has been in existence for many years when, in fact, it is relatively new.

Standard III(E) Preservation of Confidentiality

Case 1:

Member A downloads clients' personally identifiable information to his personal server at home to make working from home easier and gets hacked. The member has violated the Standard by not taking adequate steps to protect client information. Member B, who is the firm's head of compliance, likely violated the Standard by not taking the proper

steps to protect client information, as evidenced by the fact that Member A was able to download sensitive client information to his personal server.

Standard IV: Duties to Employers

Standard IV(A) Loyalty

Case 1:

A member violates the Standard by making harmful statements about Firm A, her current employer, and promoting the firm that she intends to move to while she is still employed by Firm A.

Case 2:

A member is pressured by his firm to sell the firm's proprietary investment products that are relatively expensive and haven't performed well. He has complained to management, and they have done nothing. He copies client records and he records conversations with his supervisor to document his conduct. He takes this information to securities regulators. His actions are not a violation of the Standard because he is acting in the interest of his clients.

Case 3:

A member violates the Standard by taking client information with her when she leaves her firm; the client list is the property of her current firm. Although she only intends to send her clients thank-you notes, the client list she copied has personal information.

Standard IV(B) Additional Compensation Arrangements

Case 1:

A member works for a firm that produces issuer-paid research reports and is involved with the decision of which companies her firm will cover. Some companies seeking coverage by the firm offer her a bonus payment if their firm is selected. Because this creates a possible conflict between her interests and her firm's interests, she must get approval in writing from her employer to accept the bonus arrangement.

Standard IV(C) Responsibilities of Supervisors

Case 1:

A member with supervisory responsibility over a branch office violates the Standard by not making reasonable efforts to ensure that those under his supervision are not engaging in misconduct. He also violates the Standard by not having clear written compliance policies and procedures in place, along with employee training. If these are not in place, he must decline to take supervisory responsibility.

Case 2:

A member violates the Standard by accepting the title of chief compliance officer even though she has no experience in compliance, is denied permission to contact clients or review client communications, and is not allowed to enforce company policies. She is in violation of the Standard because it requires her to make reasonable efforts to both detect and prevent violations of laws, rules, and regulations by those subject to her supervision. Knowing she could not do this, she should have declined to take on supervisory responsibilities.

Standard V: Investment Analysis, Recommendations, and Actions

Standard V(A) Diligence and Reasonable Basis

Case 1:

A member violates the Standard by recommending the purchase of shares of a company for which he has not performed a diligent, thorough, and independent analysis. A second member bases her recommendation on the analysis of the first member and incorporates part of the first member's research report in her own and is thereby also in violation of the Standards.

Standard V(B) Communication With Clients and Prospective Clients

Case 1:

A credit rating agency changes its methodology of determining the ratings of commercial mortgage-backed securities without disclosing the change to potential users of the ratings. A member who is responsible for publishing the ratings violates the Standard by publishing ratings without disclosing the change in methodology.

Standard V(C) Record Retention

Case 1:

A member violates the Standard by not updating client records in a timely manner. Although he keeps himself updated on changes in client circumstances and adjusts portfolios accordingly, he does not do a good job of keeping written client profiles up to date.

Standard VI: Conflicts of Interest

Standard VI(A) Avoid or Disclose Conflicts

Case 1:

A member receives payment from third-party subadvisors that she uses to manage client funds invested in some asset classes. To avoid violating the Standard, she must disclose these arrangements to clients because the payments may influence her choice of subadvisors.

Standard VI(B) Priority of Transactions

Case 1:

A member violates the Standard by buying shares and call options in his personal account just prior to purchasing large blocks of the same stocks in client accounts (front-running the trades), in anticipation of an increase in the price of the stocks as a result of the large purchases.

Case 2:

A member violates the Standard by telling friends and relatives about large buy orders he is to execute for clients of his employer prior to executing those orders, allowing them to front-run those trades for quick profits.

Case 3:

A member enters client trades grouped as block orders and allocates them to specific client accounts after the market closes for the day. The member violates the Standard (and likely the Standard on fair dealing as well) by allocating profitable trades to personal accounts and allocating a disproportionate amount of losing trades to his largest client accounts where they will likely go unnoticed.

Standard VI(C) Referral Fees

Case 1:

A member invites existing clients who have referred very profitable accounts to her to lavish parties, rewarding them with discounts on fees and gift cards as well. The member violates the Standard by not disclosing these "referral fees" to all existing clients and prospective clients.

Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate

Standard VII(A) Conduct as Participants in CFA Institute Programs

Case 1:

A member who teaches exam-prep classes hosts a post-exam party for candidates who took the exam. He solicits their general impressions about the difficulty of the exam and their opinions on the most difficult exam questions. He is permitted to share their opinions about the difficulty of the exam with future candidates in his exam-prep classes. However, he is not permitted to solicit or share any information about specific exam questions or about which topics were or were not tested on the exam.

Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program

Case 1:

A previous member who has not paid her dues to CFA Institute violates the Standard by using the CFA designation in marketing materials and on her business cards. Another member violates the Standard by claiming that all senior employees, which includes the member who has not paid her dues, are CFA charterholders.